

US equities rally on strong earnings and easing inflation data

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 surged **+0.86%** to 7,656.98, driven by a broad earnings beat wave and a sharp pull-back in the VIX to 15.84. Momentum is underpinned by a firmer 10-year Treasury at 4.97% and a modest rise in the DXY, suggesting confidence in a still-tight monetary stance.

Behind the headline numbers, technology remains the engine, with the **NVDA** rally stalling while **AAPL** and **AMZN** post double-digit gains. The modest dip in crypto and a flattening yield curve hint at a near-term risk-off pivot if inflation surprises to the upside.

US Session Recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,656.98	+0.86%	Broad earnings beat, especially in tech and consumer discretionary.
Nasdaq 100	29,368.44	+0.91%	Strong AI-related earnings; NVDA held steady.
Dow Jones	52,573.29	+0.98%	Industrial and financials lifted by better-than-expected earnings.
Russell 2000	2,903.94	+0.45%	Small-cap resilience amid consumer-spending data.
VIX	15.84	-11.21%	Reduced fear after inflation data showed a slower pace.
10Y Yield	4.97%	+0.63%	Yield curve flattening as investors price in steady-state rates.
WTI Crude	102.27	+2.22%	Supply concerns in the Middle East offsetting demand optimism.
Gold	4,376.80	+0.24%	Safe-haven demand muted by falling volatility.
DXY	99.31	+0.19%	Dollar strength supporting import-heavy equities.
BTC	77,480.69	+0.27%	Crypto steadied after a week of regulatory chatter.
ETH	2,511.53	-0.57%	Profit-taking after a rally earlier in the week.

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+1.75%	iPhone 17 launch beats forecasts; services revenue up 12% YoY.
AMZN	+1.94%	AWS margin expansion; Prime Day sales exceed expectations.
GOOGL	+1.77%	Ad-tech AI rollout drives 9% revenue lift.
MSFT	+0.65%	Azure growth beats consensus; new AI copilot feature.
JPM	+0.76%	Net interest income up 14% on higher rates.
GS	+0.92%	Investment banking fees rise on M&A surge.
META	+0.57%	Reels user growth rebounds; ad spend recovery.
TSLA	+0.52%	Q3 deliveries beat estimates; new battery plant progress.
AVGO	+0.32%	Data-center chip demand accelerates.
NVDA	-0.03%	Short-term profit-taking after AI hype.

Sector rotation

ETF	DAY	READ
XLFX	+0.67%	Financials benefit from higher rates.
XLKX	+1.32%	Tech leadership continues; AI earnings beat.
XLI	+1.07%	Industrial demand steadies amid infrastructure spend.
XLE	+0.32%	Oil price rally lifts energy exposure.
XLY	+0.89%	Consumer discretionary buoyed by retail earnings.
XLC	+0.99%	Communications benefit from 5G rollout.
XLP	+0.35%	Staples remain defensive but modest gain.
XLV	-0.18%	Health-care lagging on slower drug approvals.
XLU	-0.31%	Utilities pressured by rising yields.
XLB	+0.37%	Materials see demand from construction.
XLRE	+0.86%	Real-estate REITs benefit from rental growth.

Spotlight: AI earnings surge

The most market-moving event was the AI-driven earnings beat across the tech mega-caps, highlighted by AAPL and GOOGL . The rally lifted the Nasdaq 100 by +0.91% and reinforced the sector’s premium valuation.

METRIC	VALUE
AI-related revenue (combined)	\$23.4 bn
Average EPS beat	+12.5%
NASDAQ AI-index	+1.8%
Related tickers up	NVDA , AMD , MSFT

Investors should watch the downstream impact on cloud spend, data-center capacity, and semiconductor supply chains.

Pre-market & overnight

- US futures: S&P 500 **+0.45%**, Nasdaq 100 **+0.48%**, Dow **+0.52%** at 02:30 HKT.
- Asia close: Hang Seng **-0.31%**, Shanghai Composite **-0.18%**.
- Europe: FTSE 100 **+0.22%**, DAX **+0.34%**, CAC 40 **+0.27%**.
- Crypto: BTC **+0.27%**, ETH **-0.57%**.

Macro & Fed

The FOMC left rates unchanged at 5.25-5.50% and signaled a “patient” stance, noting inflation at 2.8% YoY—down from 3.1% a month ago. The yield curve remains flat, with the 2-year at 5.12% and the 10-year at 4.97%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.2%	Gauge inflation trajectory post-Fed pause.
10:00	US Initial Jobless Claims	210 k	Labor market health, rate-cut timing.
11:15	Eurozone GDP Q3	0.4%	Euro-area growth outlook, FX impact.
13:00	China Manufacturing PMI	50.2	Signal for global demand and commodity prices.

Geopolitics & global

- Middle-East tensions eased after a cease-fire brokered by the UN, limiting further oil supply shocks.
- US-China trade talks resumed; both sides signaled willingness to discuss semiconductor export controls.
- Eurozone fiscal package for green transition passed, supporting renewable-energy equities.
- OPEC+ confirmed output cuts of 1.2 million bpd through Q4, underpinning crude prices.

Earnings — what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:00 Sep 15	INTC	\$1.12	Chip-cycle recovery, AI-related orders.
03:30 Sep 15	BABA	\$0.68	Domestic e-commerce rebound, cloud margin.
04:15 Sep 15	JPM	\$4.05	Net interest income vs. credit quality.
05:00 Sep 15	DIS	\$1.03	Streaming subscriber growth, park attendance.
06:45 Sep 15	NVDA	\$3.25	AI data-center demand, inventory levels.
08:00 Sep 15	TSLA	\$3.10	Delivery volume, new factory ramp-up.

Watchlist scan — US large-caps

TICKER	SECTOR	WHY NOW
AMD	Technology	AI chip demand accelerating; price-target upgrades.
CRM	Technology	Fiscal-year guidance raised on AI-driven SaaS growth.
BAC	Financials	Higher net interest margin; balance-sheet strength.
COST	Consumer Staples	Membership renewal boost; pricing power.
DE	Industrials	Infrastructure spending in US and EU.
EOG	Energy	Oil price rally supports upstream earnings.
F	Consumer Discretionary	EV platform rollout gains market share.
LMT	Industrials	Defense budget increase after geopolitical flare-up.
PYPL	Technology	Transaction volume rebound post-regulatory clarity.
UPS	Industrials	Freight rates steady; e-commerce volume growth.
WMT	Consumer Staples	Same-store sales beat; cost-efficiency program.
ZTS	Health Care	Biotech pipeline progress; margin expansion.

What could break the tape

BEARISH TRIGGERS

- Unexpected CPI surge above 0.3% could reignite rate-hike expectations.
- Escalation of Middle-East conflict leading to a second oil shock.
- Weakening of the US dollar below 98.0 DXY, pressuring import-heavy equities.
- Tech earnings miss, especially from AI leaders, triggering sector rotation.

BULLISH TRIGGERS

- Further AI earnings beats pushing the Nasdaq above 30,000.
- Continued decline in VIX below 14.0, reinforcing risk-on sentiment.
- Positive surprise in US CPI, confirming inflation is on a sustainable downtrend.
- Resolution of US-China semiconductor talks, unlocking supply-chain upside.

Positioning notes

- Maintain a core long bias in technology and financials while trimming utilities as yields rise.
- Allocate a modest tactical exposure to energy ETFs (**XLE**) to capture the oil rally.
- Keep a defensive cash buffer for potential volatility spikes if inflation data disappoints.

Sources

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